

“Buy reason: Throwback from RABFD completed and oil prices are trending down. Since most of the fuel is hedged, the price won't make much difference. If it can push through the HCR [horizontal consolidation region] (flag in Dec 2003), then this has a chance of moving up.”

The stock formed a second broadening pattern and that one broke out upward, too, making a sharp rise upward (5% rise) in one day. The move looked like an earnings surprise where price shoots up and then retraces the move over the following week to 10 days. That's what happened here, except earnings came out a few weeks later.

My notes say I should have sold the day of the 5% spike and locked in a profit. Instead, I took a 3% loss when the stock returned to the price of the top of the broadening pattern, where I sold.

- Lesson: When the market gives you a gift (the 5% rise), find the reason for the move and consider selling.

I don't know if that's good advice or not. In earnings surprises, it can pay to hold on for months because the announcement generates excitement and that excitement pushes the stock up (after the retrace that is). In this case, I don't know what caused the 5% rise.

Con-way

Con-way Inc. (CNF, now CNW) formed a broadening pattern starting in November 2003 and lasting until April 2004. Here's my notebook entry: “21 April 2004. I bought at market, filled at 37.13, 11:06 am. This is an upside breakout from a right-angled broadening formation, descending. Measure rule says 41.14 is the target, call it 41. Downside is just below prior minor low, 34.33 for 8% loss. The truckers are doing well right now, despite wishy-washy market and high fuel costs. The company also announced earnings that apparently were better than expected.”

I bought the day after the upward breakout. Over the next two weeks, the stock threw back, but I survived by holding on. My fingers hurt.

The stock started climbing in a measured move up type pattern (rise, retrace, rise). I raised the stop not once, nor twice, but seven times along the way to the sale.